Earlier, we in India were much more optimistic about state-led solutions. Some of that early optimism about the state has subsided. We should have greater respect for self-organizing systems that do not require state capacity. As an example, the Forest Rights Act tried to give a better place to forest dwellers. But the Act retains a substantial role for the state and emphasizes allocating rights to individuals than to communities. There may be a better pathway to a good outcome, based on researching traditional community arrangements among forest dwellers in India, in the light of Ostrom's insights.

This is another surprising dimension to modern public economics. Intuitively, we should see these organically grown institutions as being akin to the system of markets. These institutions emerge and evolve on their own, aggregate a large amount of information, and result in an efficient allocation.

Summing up

The first cut of public economics asks us to find market failures and address them. Sophisticated public economics whittles down the role for the state when compared with the first cut.

When property rights and contract enforcement work well, private persons will negotiate their way to many good solutions. And even in the extreme, where large numbers of people are involved, some traditional community solutions achieve optimality. When feasible, these pathways are superior to the traditional toolkit of state intervention, as they involve less coercion.

The conventional Indian discourse slips into moralizing, into a populist approach that favours the interests of the fishermen over the steel mill. This does not yield the optimal answer.